

ACC241 – Chapter 6

Activity #1 Identify Cost Behavior and Characteristics of Cost Behavior

a. Identify Cost Behavior

The Jacob Corporation manufactures bicycles and has the following monthly costs:

	1,000 Bikes		2,000 Bikes		Cost Behavior?
	Total Cost	Cost per Unit	Total Cost	Cost per Unit	
1. Assembly-line worker's salary	\$1,200	\$1.20	\$2,400	\$1.20	
2. Factory heating and air conditioning	\$500	\$0.50	\$890	\$0.48	
3. Salaries of the company's top executives	\$5,000	\$5.00	\$5,000	\$2.50	
4. Production supervisor's salary	\$1,000	\$1.00	\$1,000	\$0.50	
5. Chains used to make bicycles	\$200	\$0.20	\$400	\$0.20	
6. Supplies (e.g. lubricant) used to make bicycles	\$300	\$0.30	\$500	\$0.25	
7. Electricity for the machines	\$150	\$0.15	\$225	\$0.13	

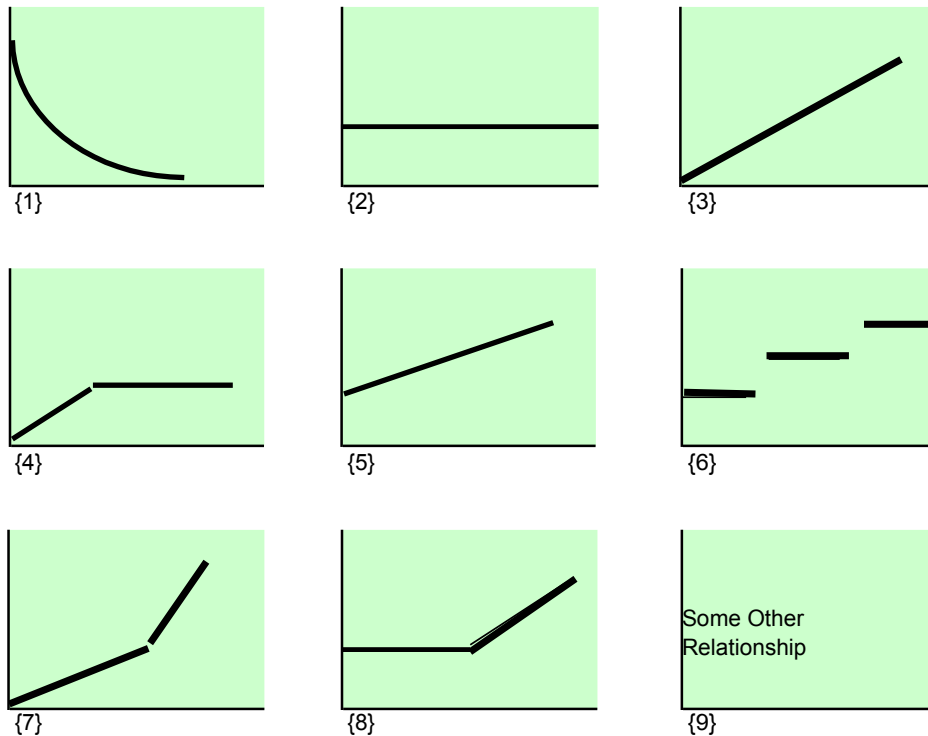
For each cost, identify the cost as Variable (V), Fixed (F), or Mixed (M).

b. Characteristics of Cost Behavior

For each of the following statements, fill in the blank with either the word *increase*, *decrease*, or *stays the same*.

- As production increases, total fixed costs _____.
- As production increases, fixed costs per unit _____.
- As production decreases, variable costs per unit _____.
- As production decreases, total variable costs _____.

c. Identifying/ Classifying Cost Behavior: Graphs



For each of the following, select the most appropriate cost behavior pattern where the lines represent the cost behavior pattern, the vertical axis represents the costs, and the horizontal axis represents total volume. All the graphs do not need to be used and a graph may be used more than once.

- a. Variable costs (*Example: Graph 2: Variable costs per unit remain the same as volume changes*)
- b. Total mixed costs
- c. Total fixed costs
- d. Average fixed costs per unit
- e. Total current manufacturing costs
- f. Total costs when employees are paid \$10 per hour for the first 40 hours worked each week and \$15 for each additional hour
- g. Total costs when employees are paid \$10 per hour and guaranteed a minimum weekly wage of \$200.
- h. Total costs when a consultant is paid \$50 per hour with a maximum fee of \$1,000.
- i. A water bill with a flat fee of \$800 for the first 100,000 gallons and additional water costs of \$0.005 per gallon.
- j. Total variable costs